

Nifty* Your everyday guide to India's progress

India. A land of many cultures and many languages. It throws up as many questions as it throws up answers.

As India gets more globalised - and maybe more complex, people are constantly seeking new answers. How much has the country progressed? How well is the economy doing? The Nifty is the platform on which India finds these answers. The Nifty Index is a composite of the top 50 stocks listed on the National Stock Exchange (NSE). It is a simplified tool, which helps investors and ordinary people alike, understand what happens in the stock market and by extension, the economy. If the Index performs well, it is a signal that companies in India are performing well and consequently that the country is doing well.

monitor the economy.

An upbeat economy is usually reflected in a strong performance of the Nifty Index. A rising index is also indicative that the investors are gung-ho about the future. Ups and downs on a short term basis are inherent in stock markets. Over the long term however, the index will be reflective of the economic trend.

The Nifty Index is based upon solid economic research and is internationally respected and recognised as a pioneering effort in providing simpler understanding of market complexities.

The Nifty Index is computed and disseminated by NSE, the 4th largest stock exchange in the world in terms of trades in the capital markets.



Stock of the nation

www.nseindia.com

* Nifty index can be used by individuals to track market movements and compare performance of individual companies vis-a-vis market performance ■ Shareholders evaluation of management decisions - performance of a company vis-a-vis the market generally reflects the perception of the investor ■ Assist traders and market intermediaries to evaluate performance and sentiments across the market ■ Index funds can replicate Nifty indices to earn market returns ■ Derivative trading - Investors can use Nifty indices for hedging their exposures in the equity markets ■ Benchmarking NAV performances - Nifty is the benchmark for performance of open ended and close ended funds.

*Nifty has been used to represent S&P CNX Nifty, owned and managed by India Index Services and Products Ltd. (IISL), a joint venture between NSE and CRISIL.